

The accompanying charts provide strong evidence that prices have just reached a significant point of reversal. The long term objective on the [10-year note] cash yield chart was achieved recently at 5.22%. A fall to as low as 5% cannot be ruled out, but it is not expected. Regardless, *a final low in yield is due in October.*

In the Bond Buyer 20-Bond Index of widely held municipal bonds, the clear five wave decline from 1946 to 1981 required a corrective rally to near the level of the wave IV triangle apex of July 1979. The advance so far has carried to slightly above that level and retraced a bit less than .382 of the decline from 1946, so this index is right at a point of maximum resistance [see updated Figure 16-6]. Good news for bonds has been more than fully discounted, and the next focus for the market will be on bad news.

The top occurred two weeks later on October 15. The October 29 issue added this final footnote: “The advance in futures prices ended in a diagonal triangle, a pattern that typically terminates longer trends. As you can see, the decline from here appears impulsive.” Figure 16-4 shows the hourly chart published at that time. The longer term charts, updated to the present, are presented in the next section.

